Chalmers flags weaker growth and higher unemployment ahead of the mid-year update

> Treasurer Jim Chalmers says December's mid-year budget update (MYEFO) will show softer growth and slightly higher unemployment, as higher interest rates and inflation take their toll.

WHAT HAPPENED

- Chalmers says higher rates and higher inflation are likely to mean **softer growth and slightly higher unemployment**. Treasury is revising all its forecasts.
- He says business investment could grow by **more than 5%** this year, double the 2.5% Budget forecast, adding over A$50b across three years.
- The Opposition highlighted an **RBA letter** to a parliamentary committee confirming that lower government spending would reduce inflation pressure.
- The Opposition says real government spending grew 4.3% last year (its own figure, not checked here).

KEY TERMS

MYEFO: the Mid-Year Economic and Fiscal Outlook, which updates the May Budget.

Fiscal stance: whether the budget is adding to or subtracting from demand.

Automatic stabilisers: tax and welfare flows that move with the cycle automatically.

BY THE NUMBERS

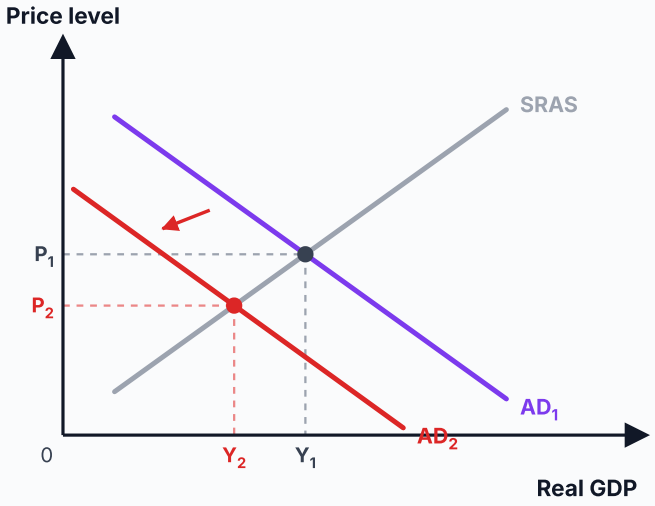
5%+
business investment growth this year (Budget forecast: 2.5%)

A$50b+
extra investment over three years

4.7%
unemployment, September

~A$1tn
gross federal government debt (ABC)

DIAGRAM The trade-off in tightening fiscal policy



Cutting spending or raising taxes shifts aggregate demand from AD_1 to AD_2.

The price level eases from P_1 to P_2, which helps the RBA. But real GDP falls from Y_1 to Y_2, so growth is slower and unemployment higher.

Exam angle: even with no new policy decisions, slower growth **automatically weakens the budget**. Tax revenue grows more slowly and welfare payments rise, so the underlying fiscal stance becomes more expansionary.

COMPARE The policy-mix debate

Tighten fiscal policy now

- Takes pressure off inflation, so **fewer rate rises** are needed
- But risks a **deeper slowdown** as unemployment rises
- Cuts may fall on services households rely on

Keep current spending

- Supports **jobs and incomes** in a slowdown
- But adds to demand, so the **RBA may hike more**
- Higher debt and interest costs over time

SYLLABUS LINK

TOPIC 4: fiscal policy. Budget outcomes and the stance of policy, automatic stabilisers, and how fiscal and monetary policy work together.

TRY THIS

Discuss whether fiscal policy should be tightened to support the RBA's efforts to reduce inflation. **(8 MARKS)**

Articles: CathNews (republishing Guardian Australia), 'Budget update projects weaker growth and higher unemployment', 23 Oct 2026 — https://cathnews.com/2026/10/23/budget-update-projects-weaker-growth-and-higher-unemployment/ · ABC News, 'ASX edges up at close...' markets blog, 23 Oct 2026 — https://www.abc.net.au/news/2026-10-23/asx-markets-business-news-live-updates-oct-23/10729 1840 · Liberal Party of Australia, media release, 23 Oct 2026 (Opposition claims) — https://www.liberal.org.au/2026/10/23/revised-forecasts-and-rba-letter-confirm-taxaholic-treasurer-is-running-economy-down-with-active-inflation-agenda-spending-and-higher-taxes · ABC News, 'The more big companies axe staff, the closer we get to a recession', 20 Oct 2026 — https://www.abc.net.au/news/2026-10-20/nab-layoffs-big-companies-axing-staff-closer-recession/107288940